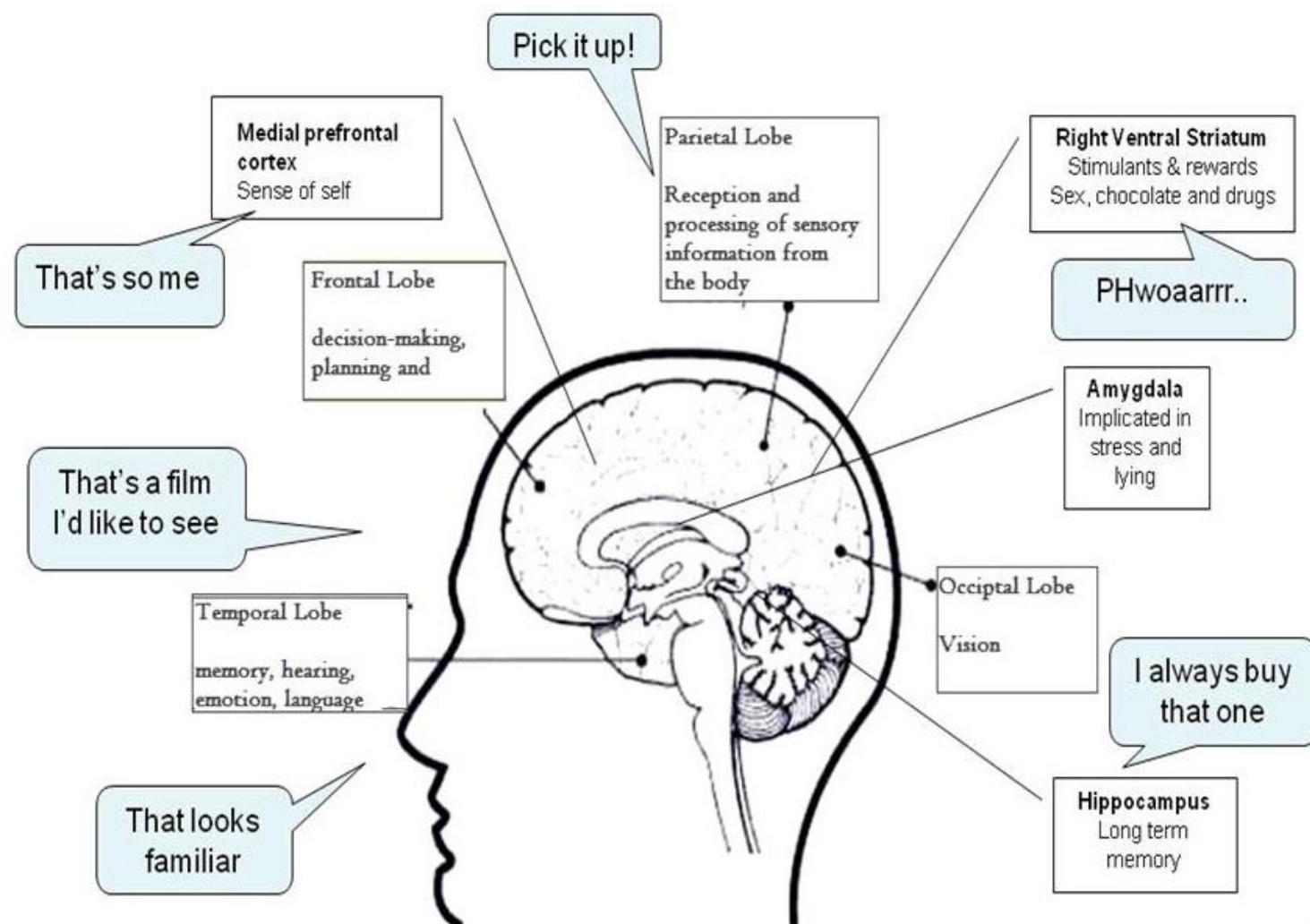




Consumer Psychology

The study of how our inner drive, thoughts, feelings, perception, attitudes, influence how and why people buy

Psychological factors



A person's buying choices are influenced by motivation, perception, learning, and attitudes

- 
- Motivation
 - An internal state, hidden from our direct observation, lead to goal-directed behavior to satisfy the need
 - Why consumers buy and consume the products?
 - Information processing
 - How do you perceive, learn, and form attitudes towards a marketing input?
- 

Motive (*Motus* in Latin = Move)

Motive is a specific reason why people perform a specific action, an incentive, a goal.

Motive can be thought, urge, feeling, emotion that drive consumers to react in the form of a decision.

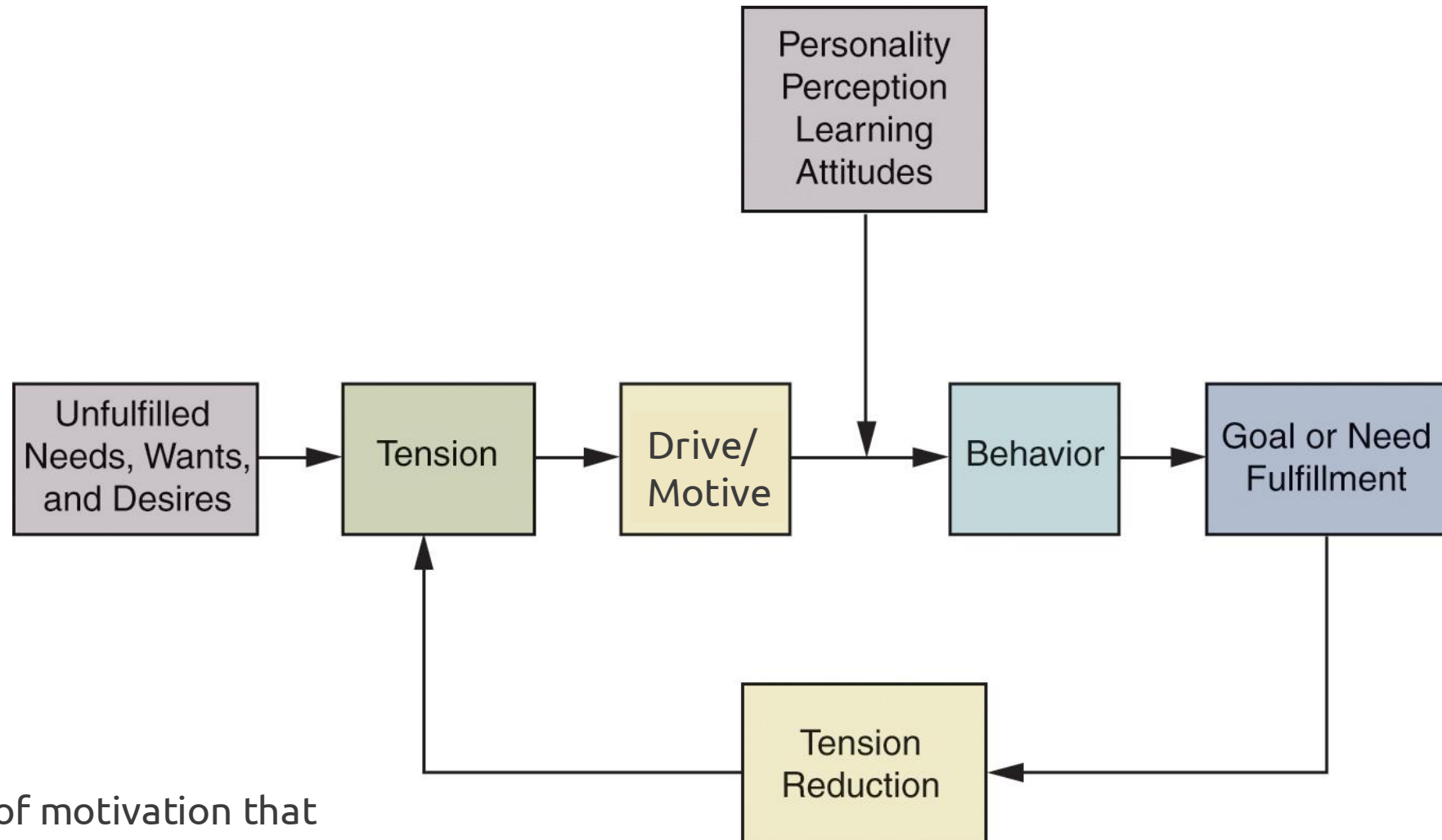
- Consumers do not buy products. They buy motive, solutions.
 - A person can be motivated to buy a product for convenience, for comfort, for prestige, for self-pride, or for being at par with others
 - A woman does not buy cosmetics but buys hope for looking good



If there is a better reason to swim, I don't know what it is.

Motivation

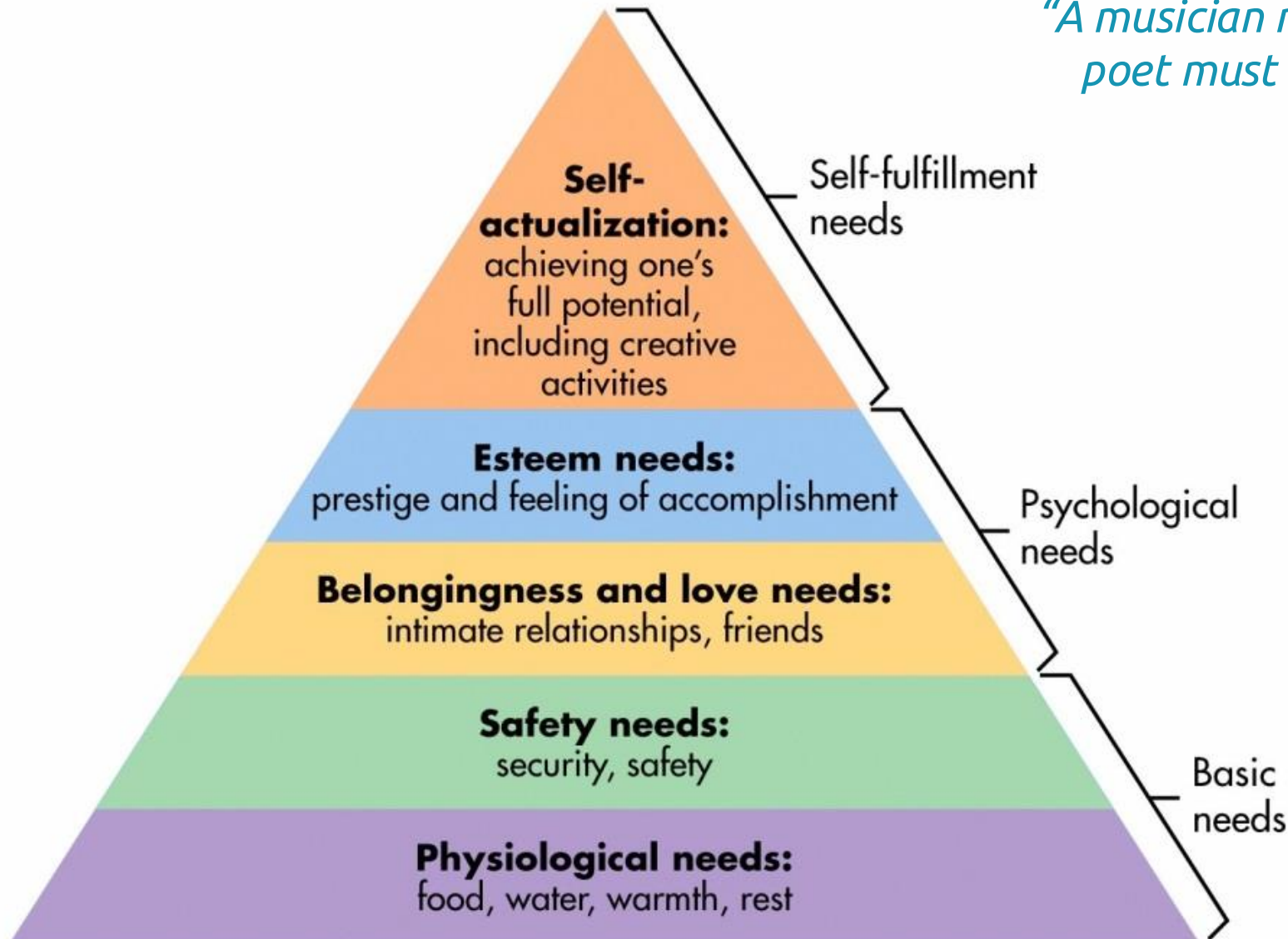
A psychological processes that explain why and how different motives act on motivated behavior.



The dynamics of motivation that demonstrate consumers' search for higher goals or alternative goals.

Maslow's Hierarchy of Needs

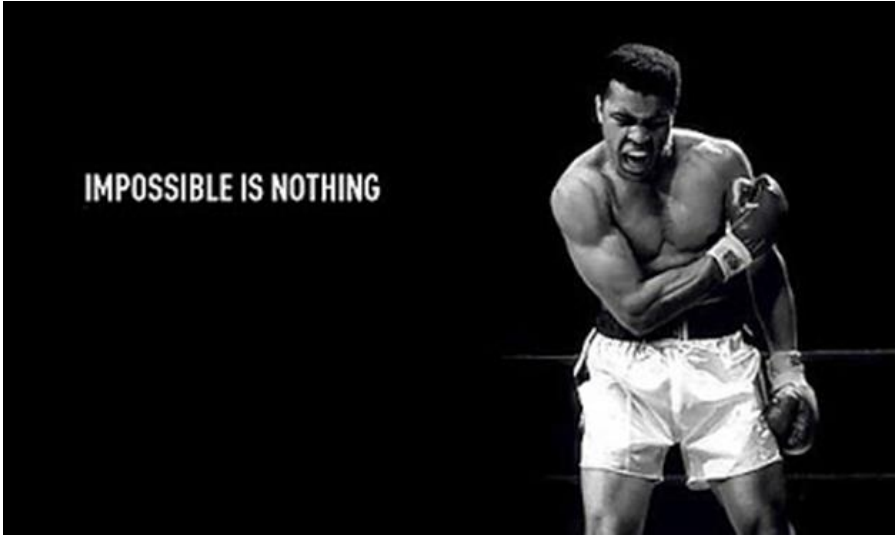
"A musician must make music, an artist must paint, a poet must write, if he is to be ultimately happy"
(Maslow, 1943).



- An artist who has not made a lot of profit on his art, but he still paints because it is fulfilling and makes him happy.
- A father who gets a sense of purpose from raising his children to be a positive force in the world.
- An employee at a nonprofit who uses her ever-increasing skills to improve the lives of others.
- Self-actualization leads to well-being

The role of products in fulfilling needs

Needs	Products	Marketing Themes
Physiological	Food, water, medicines, vitamins, exercise equipment and gym memberships, health care and cleaning products, sleep aids and mattresses, food for pets	Fresh Express salads: "Consistently, deliciously, fresh." GNC vitamins and supplements: "Live well." Colgate Total: "#1 recommended by dentists and hygienists." Purina pet food: "A difference you can see."
Safety	Health and life insurance, computer antivirus software, smoke and carbon monoxide detectors, antibacterial cleaners, business protection, auto safety features	Progressive Insurance: "Helping you save money. That's Progressive." Lysol household cleaners: "Disinfect to protect." Better Business Bureau: "Start with trust."
Belongingness	Cosmetics, food, entertainment, fashion, appliances and home furnishings, clubs and organizations, cars	Avon Walk for Breast Cancer: "In it to end it." Lowe's: "Let's build something together." Lee: "Get what fits." Payless shoes: "Save now. Feel good." Olay: "Love the skin you're in." Ford: "Drive one."
Esteem	Fashion, jewelry, gourmet foods, electronics, cosmetics, luxury cars, credit cards, investments, sports and hobbies, travel, spas	Rolex watches: "A crown for every achievement." Lincoln automobiles: "Travel well." L'Oréal Paris: "Because you're worth it." Visa Black Card: "The world awaits."
Self-actualization	Education, cultural events, sports and hobbies, motivational seminars, technology, travel, investments	University of Phoenix: "I'm a Phoenix." Tony Robbins: "Unleash the power within." Canyon Ranch: "The power of possibility."



Maslow's hierarchy of needs in Advertising

AccuQuote
Saving You Money For Life

If you died today,
who would take care of your family?

10-Yr Level Term Life Insurance	age	male	female
\$500,000 Policy (Monthly Premiums)	40	\$20.83	\$18.20
	45	\$31.33	\$26.95
	50	\$44.45	\$38.76
	55	\$76.39	\$55.83

Get A Free Quote!
Click Here



NEW YORK TASTE

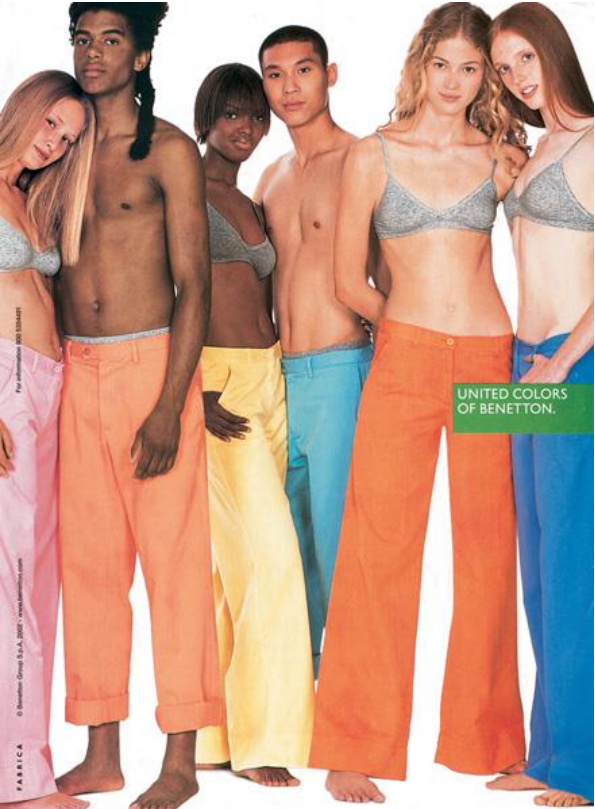
PRESENTED BY atlantic

EAT. DRINK. MINGLE.

Monday, November 3
Skylight, 275 Hudson Street
6-9pm

nymag.com/taste

Admiral Alaine Ducas
at The St. Regis New York
Allegretti
Arbutus & Wild Honey
Aureole
Bar Boulud
Bar Milano
Bar Q
Beacon Restaurant
Blaise Gans
Blue Hill at Stone Barns/
Blue Hill Restaurant
Butter
Champagne Nicolas Feuillatte
Clement Club & Platform Lounge
Concilio
Craft & Craftsmen
Dell'Anno
District Restaurant
Dorval
Eighty One
Elettaria
Fishfall
Fragoli
Hill Country
Incense
at The Michelangelo Hotel
Le Bernardin
Le Cirque
L'Espresso, The Restaurant of
The French Culinary Institute
Lever House Restaurant
Molly's
Morimoto
Oxone
Oxoni & The West Branch
Palmer's of Or Champagne
Park Avenue Autumn
Patron
P.D.T.
Papa Club
Per Se
Porter House New York
Restaurant Tom Aikens
Rings
Table 8 at The Cooper Square Hotel
Tulipier
The Spotted Pig
Tolache

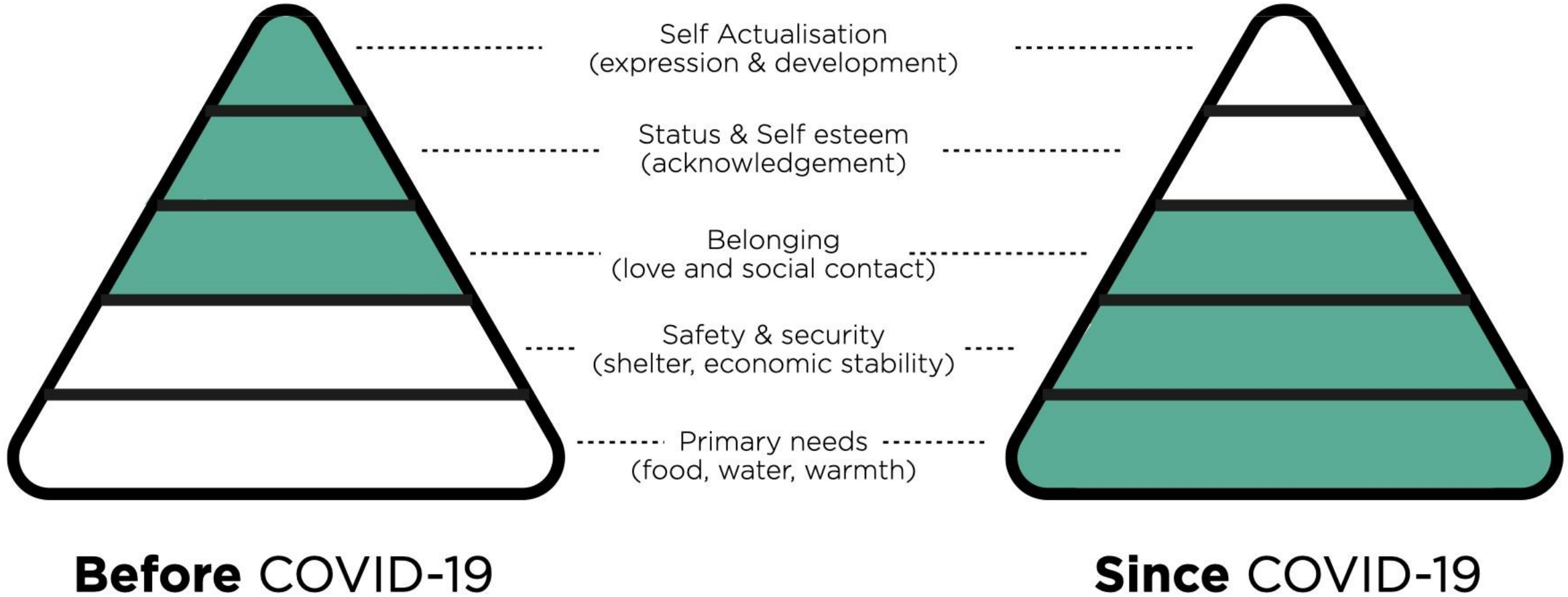


Products meet more than one level of
Needs



Maslow

Hierarchy of needs



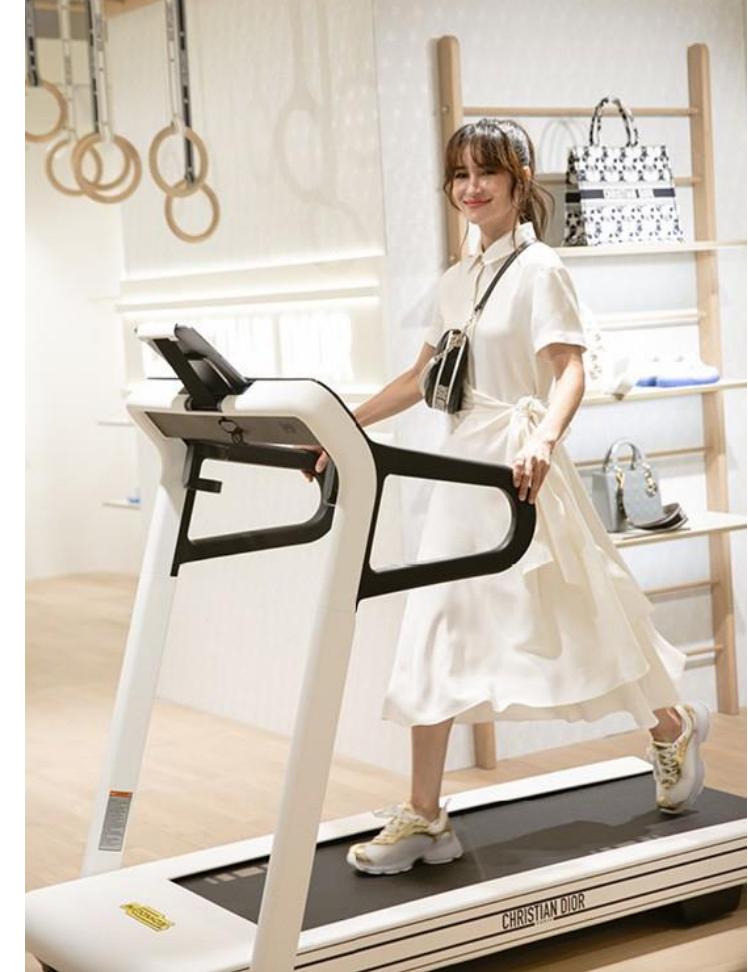


BE A HONK ME
MOPPET
AUTHENTIC BRANDNAME FLAGSHIP STORE

“Maison TAMBOITE's LV Bike”

จักรยาน คั่นละ LOUIS VUITTON 5xx,xxx บาท!

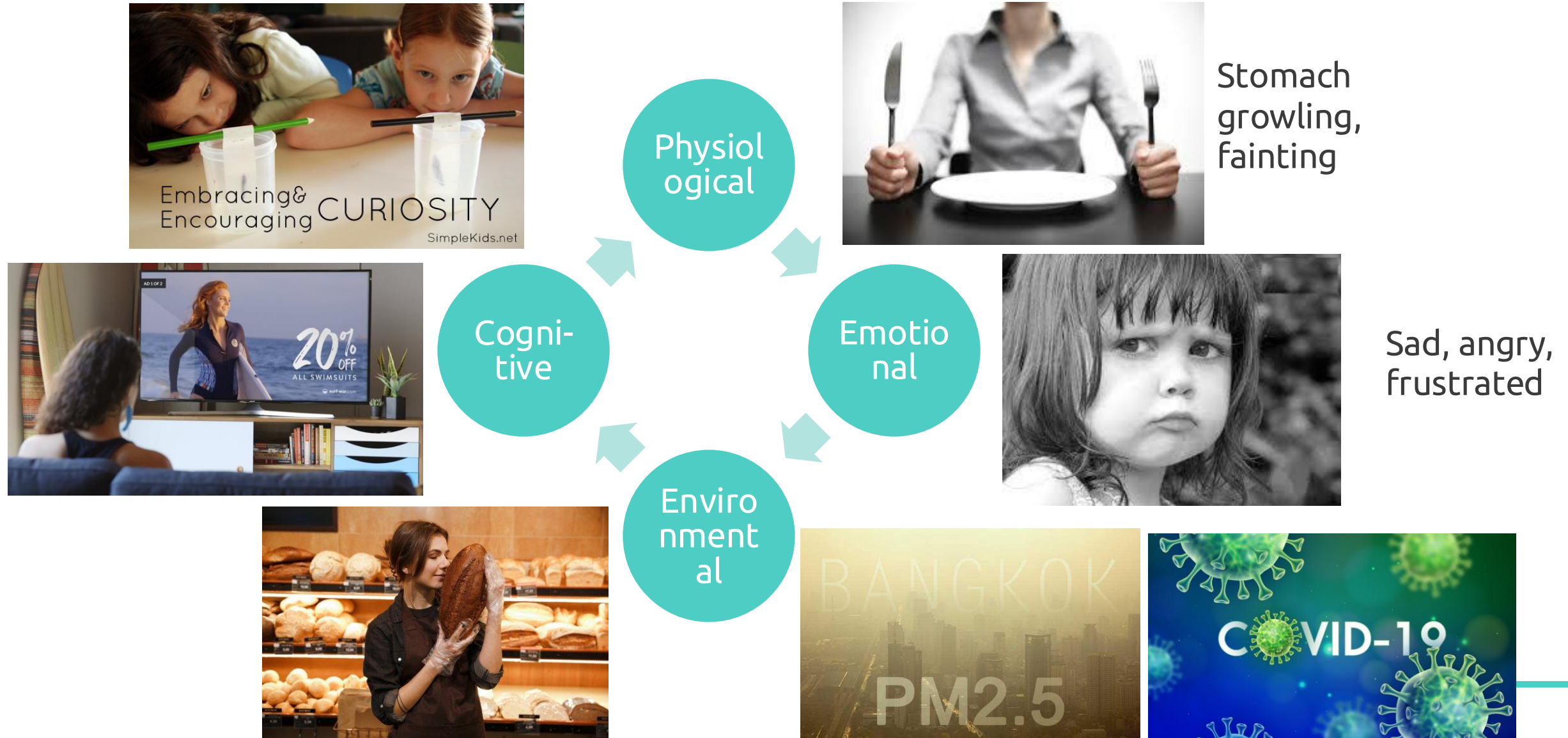
OMG!



Luxury designers cash-in on recent trends such as accessory trend (face masks and shields), glamping trend, anti-luxury trend

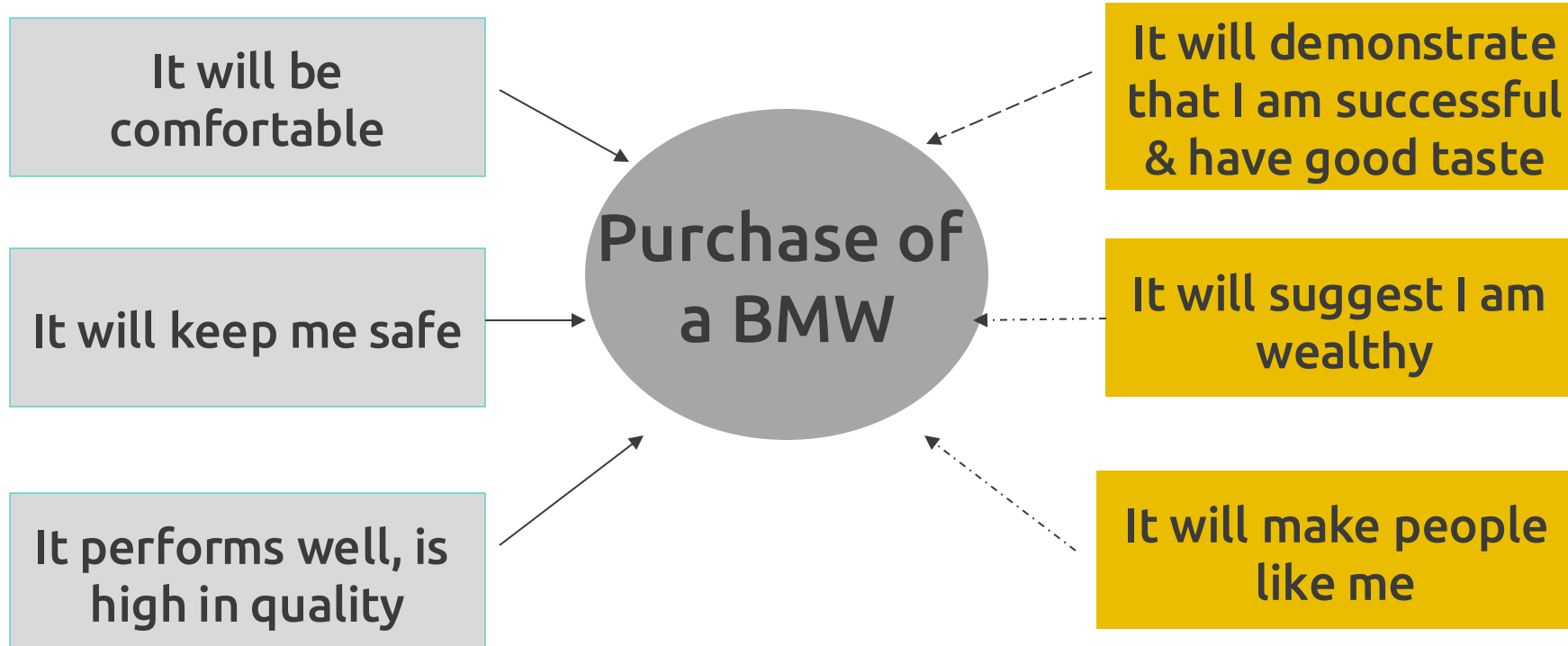
Need Arousal

A consumer has a variety of needs but only some of them are aroused at any given time and given top-of-mind priority.



Multiple Motives

- Multiple motives are involved in consumption.
 - Some motives are aware and willing to disclose (manifest)
 - Others are not consciously aware or unwilling to admit, and hidden (latent)
- Multiple benefits should be communicated to fulfil multiple motives.
 - Direct appeals are used for manifest motives and, indirect appeals for latent motives.



Positive and Negative motivation

- Brands focus on an advertising based on positive goals e.g. to get fit or to indulge, or negative outcomes to e.g. to avoid embarrassment.

Need	Gained	Avoided
Self-Actualization	Creativity, accomplishment	Unfulfilled potential
Esteem	Pride, recognition, prestige	Failure, inadequacy
Social	Acceptance, popularity	Rejection, embarrassment
Security	Safety, protection	Loss, danger, fear
Physiological	Health, comfort	Sickness, discomfort

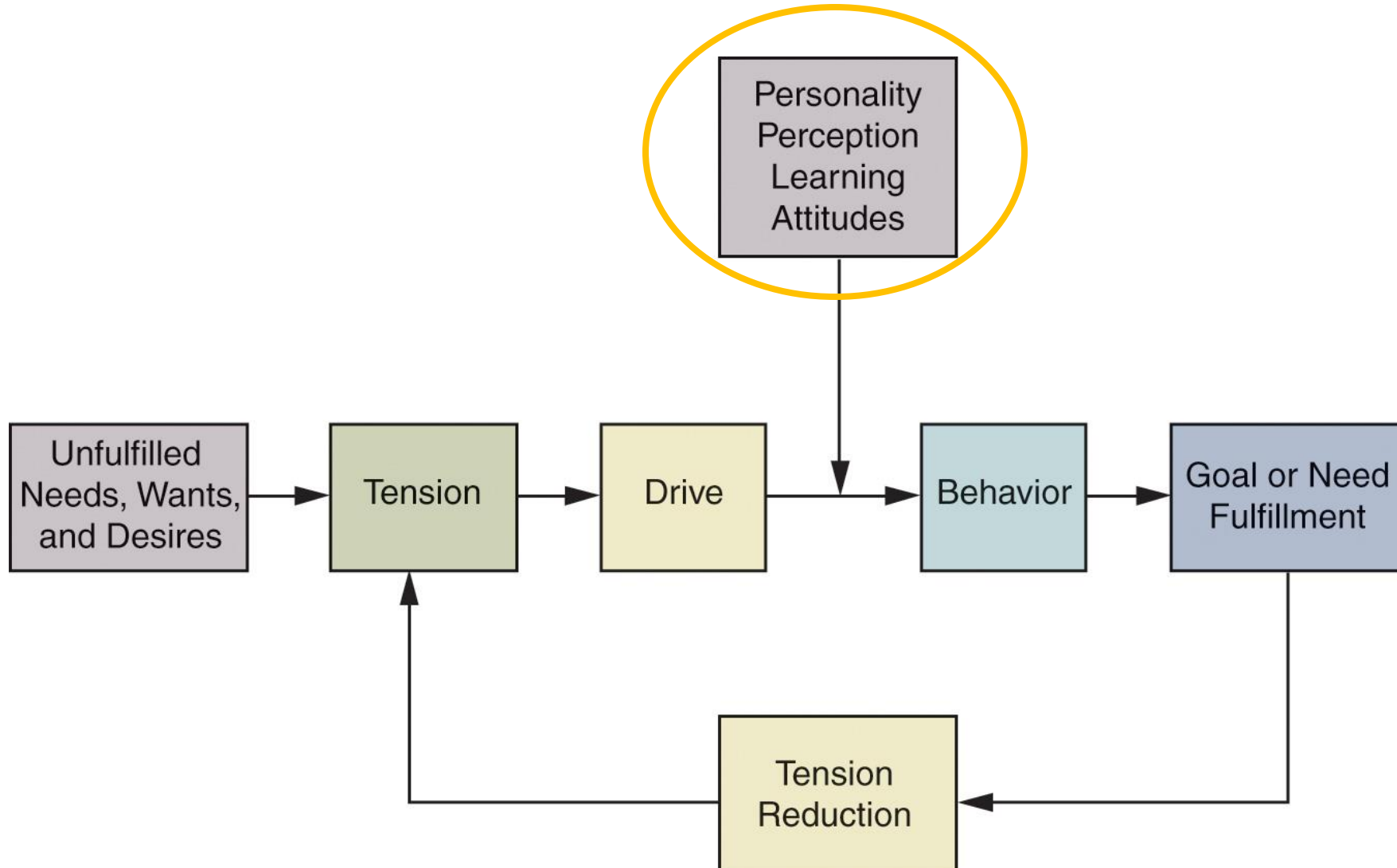
Positives and Negatives for Each Need (Based on Maslow)



Identify different ways to motivate consumers

Needs	For a car	For a restaurant	For a smart phone?
1. Everyday living survival, physiological	Economical, simple to drive, easy to get around, comfortable for long distance driving		
2. Security, safety	Safety features, trusted name, well-engineered, reliable, ideal family car		
3. Friendships, acceptance	Most popular car, great first car, show groups in ads		
4. Demonstrate success	Luxury, strong brand, exclusive options, high price		
5. Fulfil our potential	All-around, flexible driving help you go anywhere you want		

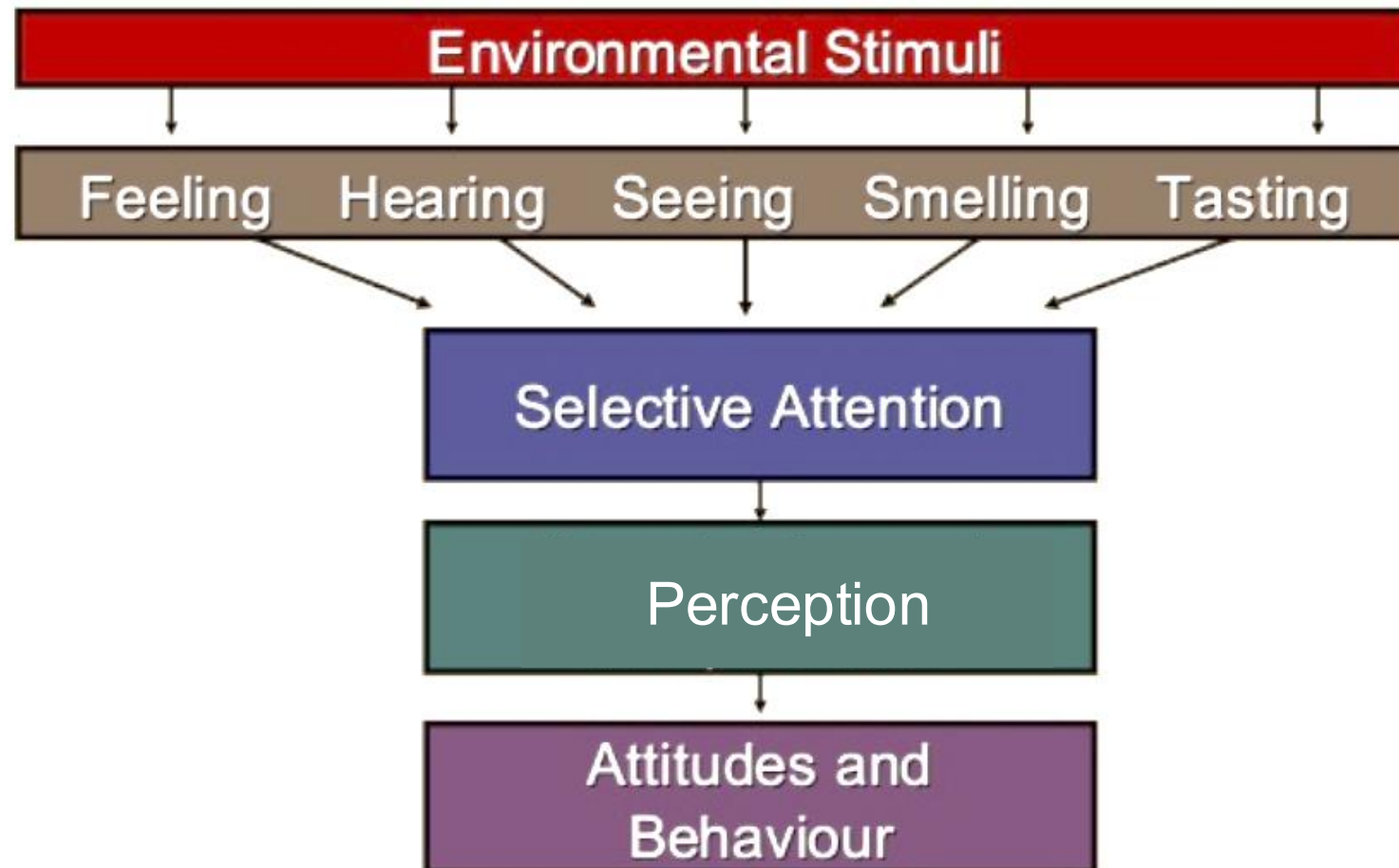
Information Processing

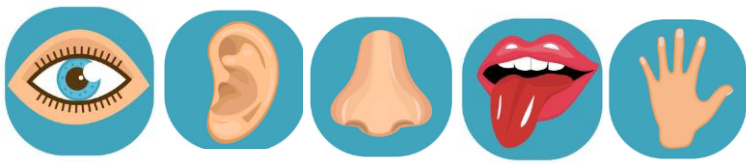


How do consumers process the information?



The process through which consumers are exposed to information, attend to it, comprehend it, place it in memory and retrieve it for later use.





Attention

- Exposure: A consumer comes into contact with a marketing stimulus via 5 senses (vision, hearing, smell, touch, tastes)
- Tendency for people to screen out most of the information means marketers must work hard to attract their attention.
- Factors influencing attention

Make the Stimuli:

► Personally Relevant

- Appeal to Needs (e.g. hungry → food ads)
- Using Similarity
- Using Dramas
- Using Rhetorical Questions (e.g. Who wants to be a Millionaire?)

► Pleasant

- Using Attractive Models
- Using Music
- Using Humor

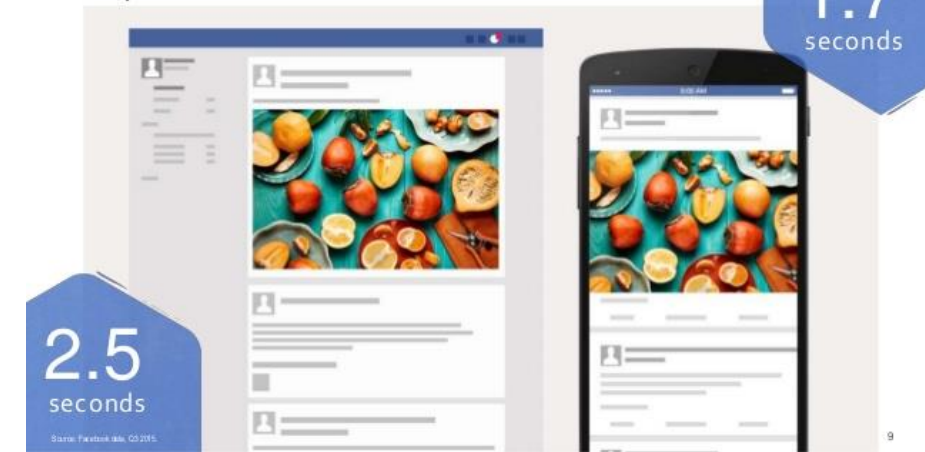
► Surprising

- Using Novelty
- Using Unexpectedness
- Using a Puzzle

► Easy to Process

- Prominent Stimuli
- Concrete Stimuli (e.g. Sunlight vs. Joy)
- The Amount of Competing Information
- Contrasting Stimuli

People consume content faster in mobile feeds



Perception

- The way one looks at understands, and adds meaning to sensory info/stimuli which determines what one thinks/feels about them
- See – color, shape, size, brightness, image
 - Lowercase brand logo are perceived friendlier
- Hear – tempo, sound, noise
 - Car: Brimley vs. Bromley. Which one is rated higher on perceived legroom, trunk space, and engine power
 - French music can influence restaurant perception
 - Nice sound of coffee makers influence coffee perception
- Smell – odor
 - Sony infuses its stores with mandarin, vanilla, and cedar for its appeal to women to entice women to spend more time and money
 - Smell of the bakery nudge one into a pleasant mood and bring back childhood memory
- Taste – sweet, bitter, salty, sour, savory
 - Taste is the hardest to cater to as it varies from persons to persons. Taste relies most on the other four senses to paint a complete picture
 - A welcoming drink/food samples can entice customers to purchase
- Touch – texture, temperature, hardness, weight
 - Soft-comfortable, rough-durable, heavy-high quality

Psychology of Shape

Each shape has its own meaning and influences the human mind and reactions differently.



Triangle

mystery, power, religion, law, leader, focus, ambitious, competitive



Squares/Rectangles

stability, balance, strength, professionalism, efficiency, organized, analytical



Horizontal Line

moving through time, futuristic, tech saviness



Verticle Line

commitment, strength, goals, progress



Circle/Ovals

positive emotional message, community, love, unity, generous



Organic

creative, motivating, futuristic, intuitive, expressive



COLOR SETS THE TONE

A VISUAL GUIDE TO WHAT COLORS COMMUNICATE
brought to you by •Dustin W. Stout

RED

EXCITING, DEMANDS ATTENTION
Studies show that this color actually raises heart rate.

ORANGE

FUN, AMBITION
Also an attention-getter, this color is perfect for calls to action.

YELLOW

HAPPINESS, OPTIMISM
Studies show that this color causes the release of serotonin.

GREEN

GROWTH, NATURE
Also associated with money, this color is the easiest for the eye to process.

BLUE

TRUST, LOYALTY
The majority of people say blue is their favorite color. Associated with calmness, and security.

VIOLET

PROSPERITY, ROYALTY
Studies show that this color actually stimulates problem solving.

GREY

SOLID, TIMELESS
Associated with stone, or rock, this color communicates sturdiness and longevity.

BROWN

EARTHY, ORGANIC
Associated with being natural or earthy. If done right it can be quite soothing.

WHITE

CLEANLINESS, CLARITY
Also associated with purity and adds no extra visual weight.

BLACK

ELEGANCE, POWER
Gives an impression of strength and authority.

XFINITY® HOME

xfinity

Sears

sears

NICKELODEON

nickelodeon
ANIMATION STUDIO

NiB Mor

NiB Mor

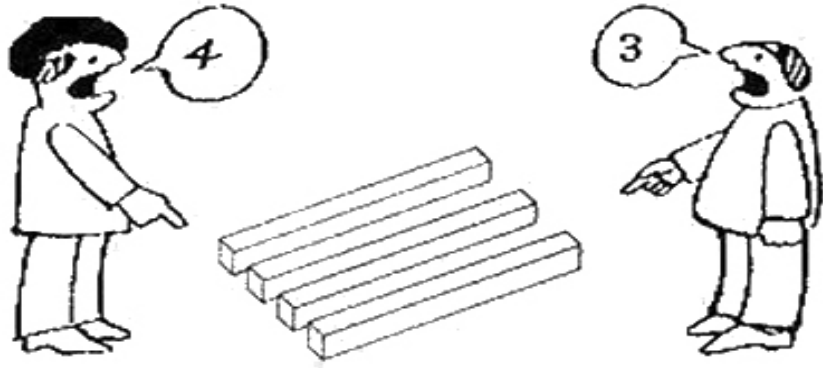
ARAMARK

aramark

JCPenney

jcp

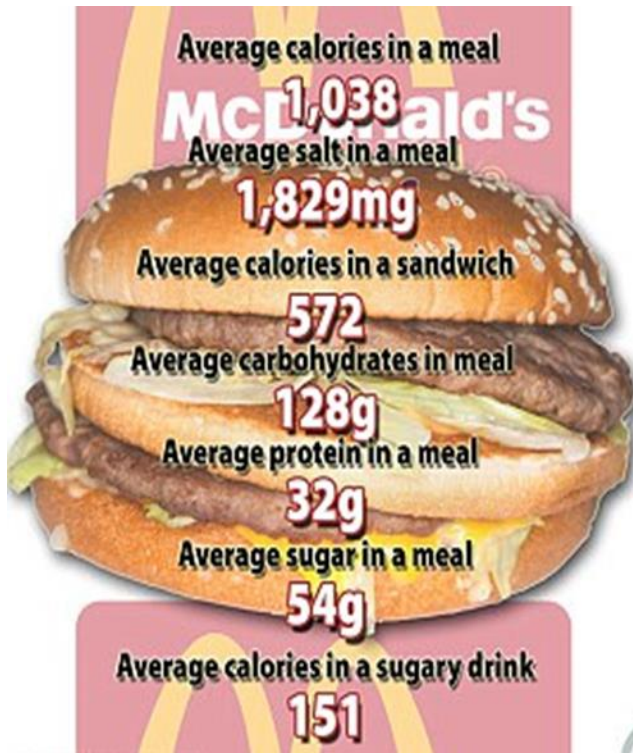
"We Don't See Things As They Are,



Perception vs. Reality

- **Perception** is an approximation of reality
 - Perceived Quality vs. Quality
- The same object can be interpreted and understood in different ways by different people.

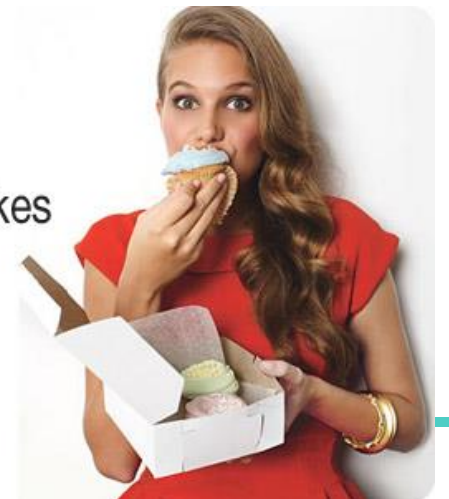
"We See Them As We Are." - AN



- Perception is a biopsychosocial phenomenon, based on their needs, wants, expectation, past experience

Yum!

So these organic cupcakes are good for me right?



Learning

- Perception is influenced not only by sensory input but also by available knowledge/experiences.
- Learning is a process by which consumers acquire (purchase/consumption) knowledge/experience that can be applied to future related behavior

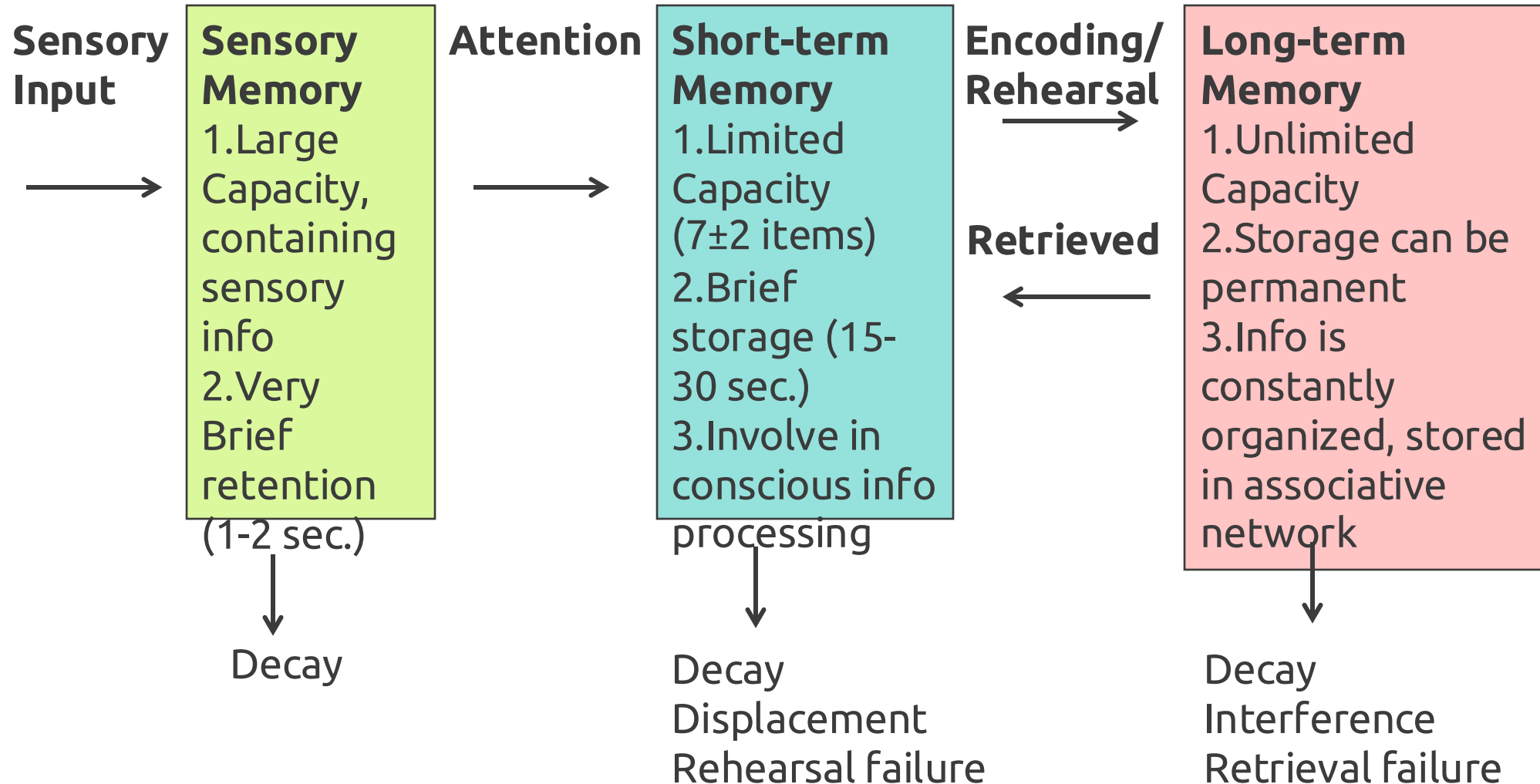
Behavioral Learning

- **Learning by doing**, through repetition
- Learning is the result of interacting with the environment, and **changing behaviors** to respond to the environment
 - Through trial & error, consumers learn which behaviors leading to rewards/punishment
- One learn by **observing other's behaviors and consequences**

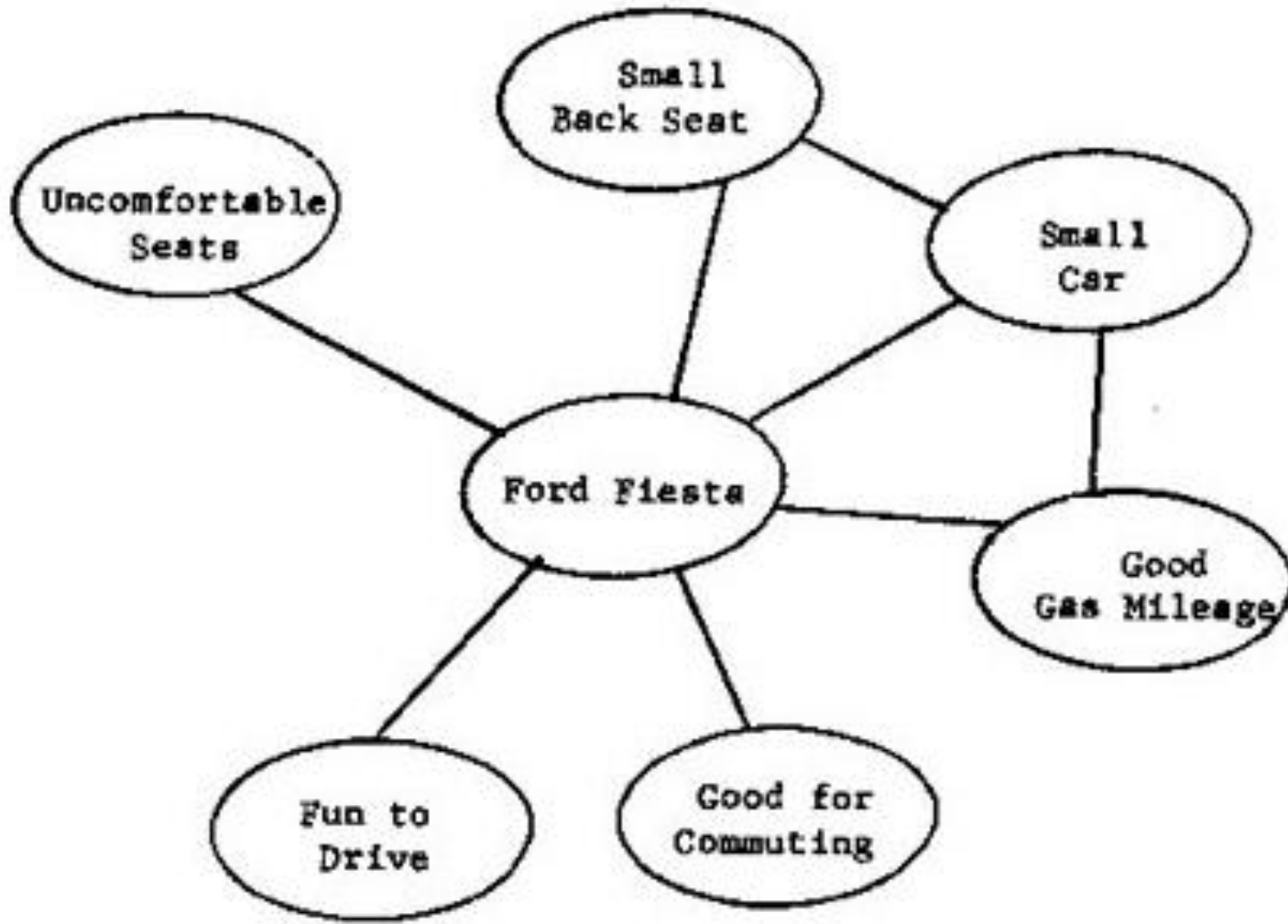
Cognitive Learning

- Learning by thinking, focusing on how info is processed and retrieved in the memory
 - Learning is about how one encodes, rearranges, transfer existing knowledge within their mind, without directly interact with the environment
 - Learning involves reflecting on the experience, searching and analyzing info, synthesizing and applying knowledge
-

Information Flow during Learning



Network model of memory

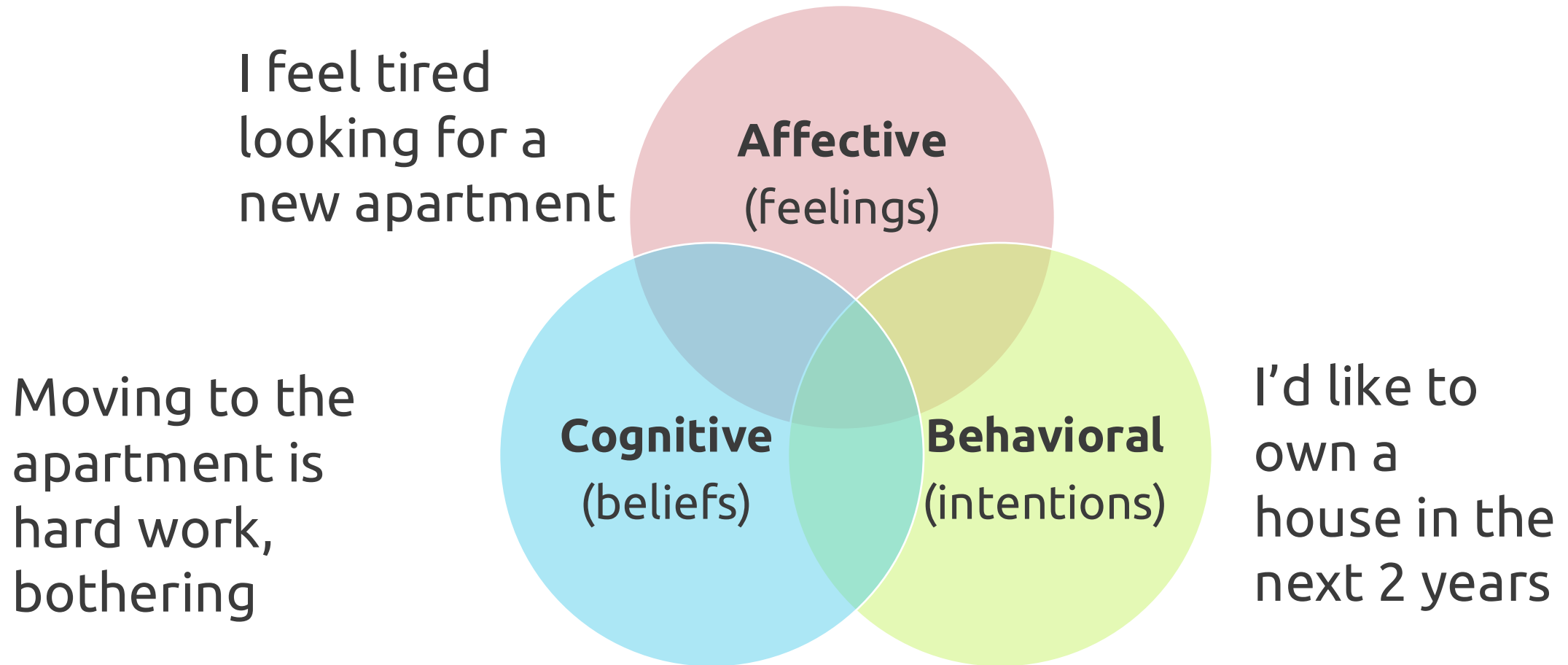


- Knowledge is represented as associative networks comprising nodes (or units of information such as a person, place, or occasion)
- When a customer is reminded of a stimulus, activation of the node corresponding to that stimulus occurs, and spreads to other nodes

Marketers want to create or reinforce associations with brands, products

Attitude

- **Perception** taking place in short-term memory leads to **Learning**.
- Repeated **learning** about an object develops our **attitude**
- **Attitude is** how one reacts to one's perception, and is reflected in one's behavior.
- An expression of favor/disfavor toward an object that affects one's behavior



Attitude Change

- Changing attitudes
 - Unfavorable attitudes: rumors, unfortunate mistakes
 - Generally, attitude change is very difficult
 - Consumers may suspect the ulterior motive (to get people to buy, switch the brand)
- Changing the marketing mix itself
- Changing attitudinal components
 - Feelings
 - Belief
 - Behavior



Attitude Change: Affect

- Classical conditioning
 - “Pairing” a brand with desired stimulus
 - A car with a sexy woman/a famous celebrity
- Attitude toward the ad
 - A likable ad for a brand in a mundane product category
 - Dove
 - Thai Insurance
- Mere exposure
 - Repeated exposure increases fluency and preference



Attitude Change: Belief

- Belief: an acceptance that something exists or is true, even without actual evidence or proof
- Change currently held belief about the company/rival
- **Change beliefs about the attributes of the ideal brand**
 - Macs have fewer viruses
- **Add new beliefs not inconsistent with what is already believed**
 - Stress causes vitamin depletion
- Change the motivational function of a product
 - Utilitarian: what a product is used for
 - Ego defensive: protect one's self-image and ego
 - Value expressive: reflect value and lifestyles
 - Knowledge: provide certainty and reliability



Attitude Change: Behavior



Attitudes are inferred from behavior (e.g., I buy the product so I must like it or It must be good)

Switch to our brand

- Sales promotion
 - Free samples, free trial
 - Discount
- Distribution
 - Make the product available, easy accessible, convenient

Stay with our brand

- Resolving consumers' cognitive dissonance
 - Promote its unique quality
 - Present testimonials from satisfied customers
 - Friend-get-friends
 - Loyalty program
- 



Attitude Change

- Shift the consumer focus from the (lack of) nutrition to the happy experience
- Offer alternatives
 - Replace Mayonnaise → a light, fat-free version, mustard. Use Trans fat-free oil
 - Create Healthy Menu
- Not only what you eat but also what you do.
 - Initiate 'go active' campaign
 - Sponsor sporting events



How to stimulate a desire for a product

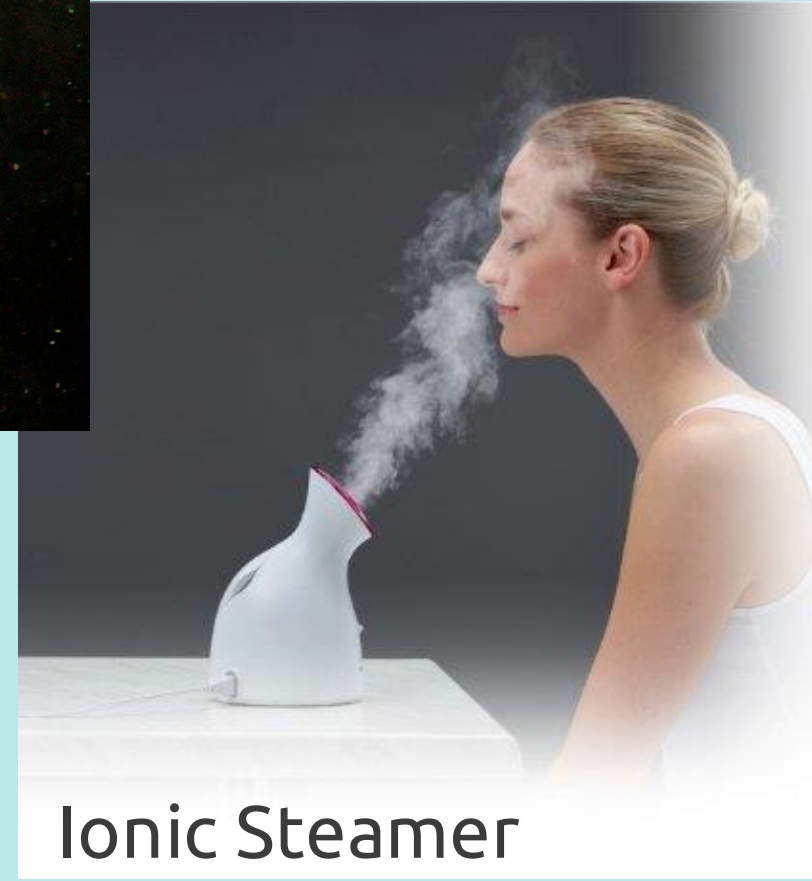
a motorized robot chair
with a pair of arm rests
blaster with joysticks



Around 40-80,000 baht



Starting 28,900 baht
headphones with air
purification
technology in the ear
cups.



Ionic Steamer

Around 7,000 baht

How to stimulate a desire for a product

Home-used IPL



Around 10,000 baht

Smart Garden



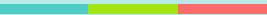
Around 7,000 baht

Shoe deodorizer



Around 11,000 baht

How to stimulate a desire for a product



1. What are problems (a.k.a. pain point) customers currently encounter **BEFORE** a new product is offered? How the new product solve customer's problems?
 2. What kind of customers do you want to target?
 3. What's **consumer (negative) perception/attitude** towards the product? What's **the barrier (price, cost, risk)** that prevents customers from adopting the product? How can we **overcome such barriers and negative perceptions**?
- 